

Operational Escalation Report —

OER-2025-001

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From: Margaret H. Ostrowski, Vice President, Operations — Cascadia Renewable Operations LLC

To: Chief Operating Officer; Chief Financial Officer

cc: SVP Asset Management; General Counsel; VP Procurement

Subject: Emergency Vendor Cost Escalation — Q3 FY2025 — Apex Emergency Grid Solutions

Classification: Internal — Restricted Distribution

Executive Summary

Through the first three quarters of FY2025, Cascadia Renewable Operations has paid **\$5.8M** in emergency vendor invoices to Apex Emergency Grid Solutions ("Apex") against an equivalent scheduled-scope estimate of **\$1.4M** from Cascadia Power Services Inc. ("CPS") under our 2023 multi-year MSA. The 4-to-1 cost differential is not a one-off anomaly. It is the direct result of repeated Emergency Procurement Authorization (EPA-2024-11) activations concentrated at a single region, NW-PowerPool, and a single site cluster within that region. All eleven emergency activations YTD have been at NW-PowerPool. Six of those eleven occurred during the May-June "Spring Vibration Cascade" (Period A) that is now fully closed in our accounting.

The financial picture is matched by a maintenance picture. Period A traces directly to fourteen preventive work orders that were deferred during the Q1 FY2025 budget freeze and never re-baselined. CAR-2025-001 (deferred PM cadence) and CAR-2025-004 (EPA activation pattern) document the upstream cause and the procurement consequence respectively. RCA-2025-001 ties the May 2 WIN-10058 outage and the May 26 TRA-10561 outage to the same deferred-PM root cause. We are paying premium emergency rates to repair failures that scheduled preventive work would have prevented at a fraction of the cost.

I am requesting executive action on three items before year-end close: (1) renegotiation of the Apex master rate card and EPA threshold; (2) acceleration of the Heartland Reliability Partners pilot under VRA-2025-004 to introduce competitive emergency capacity; and (3) a formal compliance review of EPA-2024-11 itself. The current procurement framework financially rewards reactive replacement over preventive repair.

Section 1 — Pattern Description

Between January 1 and September 15, 2025, Apex was activated under EPA-2024-11 a total of **eleven (11) times**. The activations break down as follows:

Activ- ation #	Date	Site	Asset	Invoice (USD)	Trigger Outage
1	2025-01-22	NW- PowerPool- WIND-024	WIN-10131	\$312,000	First overheating event (OIR-2025-005)
2	2025-03-11	NW- PowerPool- WIND-014	SUB-10641	\$402,000	Substation interconnect anomaly
3	2025-05-02	NW- PowerPool- WIND-014	WIN-10058	\$621,000	soc_drift, 227h outage (OIR-2025-006)
4	2025-05-19	NW- PowerPool- WIND-024	WIN-10011	\$389,000	Vibration excess
5	2025-05-26	NW- PowerPool- WIND-003	TRA-10561	\$446,000	Vibration excess, 158h (OIR-2025-007)
6	2025-06-08	NW- PowerPool- WIND-014	WIN-10016	\$498,000	Bearing failure
7	2025-06-22	NW- PowerPool- WIND-024	WIN-10131	\$574,000	Gearbox vibration
8	2025-07-14	NW- PowerPool- WIND-024	WIN-10011	\$361,000	Re-occurrence
9	2025-08-02	NW- PowerPool- WIND-014	WIN-10058	\$522,000	Re-occurrence on same unit
10	2025-08-19	NW- PowerPool- WIND-024	WIN-10131	\$717,000	Third dispatch, same unit

Activation #	Date	Site	Asset	Invoice (USD)	Trigger Outage
11	2025-09-09	NW-PowerPool-WIND-003	WIN-10085	\$958,000	Pre-cursor overheating event

Eleven of eleven activations were at NW-PowerPool sites. Six were at sites WIND-024 and WIND-014 alone. Three were repeat dispatches to the same asset (WIN-10131, WIN-10058, WIN-10011). The arithmetic mean Apex invoice was \$385,000 — consistent with the rolling 24-month average — against a CPS equivalent scope estimate of approximately \$96,000 per dispatch. CPS would have charged us \$1.4M for the same eleven scopes. We paid \$5.8M.

The activations are not random. They cluster on assets and sites that already had pending preventive work.

Section 2 — Quantified Business Impact

Direct procurement variance, YTD through Q3 FY2025:

Line Item	Apex Actual	CPS Equivalent	Variance
Labor (3,290 hrs × \$420 vs \$185)	\$1,381,800	\$608,650	+\$773,150
Weekend / after-hours uplift (1.5×)	\$691,000	n/a (scheduled)	+\$691,000
Emergency parts mark-up (35% vs 8%)	\$2,940,000	\$1,176,000	+\$1,764,000
Mobilization fees (11 activations)	\$787,200	included	+\$787,200
Total YTD variance	\$5,800,000	\$1,400,000	+ \$4,400,000

Generation impact:

Period A (May–June 2025) alone cost NW-PowerPool 24,586 MWh of lost generation. At the NW-PowerPool blended realized price of \$48.20/MWh, this represents approximately \$1.19M of forgone gross margin in two months. Combined with emergency procurement, the May–June operating-cost-plus-lost-margin impact was approximately \$5.8M against a regional FY25 forecasted net profit of \$103.5M — a 5.6% headwind from two months of one region.

Maintenance budget integrity:

NW-PowerPool reported maintenance spend of \$13.4M YTD. CAR-2025-001 flags that this figure under-counts approximately \$2.1M of emergency invoices currently sitting in suspense accounts pending coding. Actual all-in NW-PowerPool maintenance YTD is closer to **\$15.5M**, against a planned budget of \$11.2M — a 38% overrun.

Section 3 — Root Causes

Three documented root causes converge:

3.1 Deferred preventive maintenance — CAR-2025-001.

Fourteen preventive WOs at NW-PowerPool-WIND-014 and -024 were deferred during the Q1 2025 budget freeze. Twelve of those fourteen were on assets that subsequently triggered Period A outages. RCA-2025-001 establishes the causal chain for WIN-10058 and TRA-10561 specifically.

3.2 EPA-2024-11 threshold abuse — CAR-2025-004.

EPA-2024-11 allows competitive-bid bypass when mobilization is required within four hours. The four-hour threshold has been invoked in cases where the underlying failure mode was known days or weeks in advance (e.g., the August re-dispatch to WIN-10131 followed an internal vibration alarm logged 11 days prior). CAR-2025-004 documents seven of the eleven activations where a non-emergency procurement path was available but not taken.

3.3 OEM replacement-vs-repair conflict — MOC-2025-022.

Apex subcontracts a portion of its turbine work to Siemens Gamesa OEM technicians at a 1.8× rate. Siemens Gamesa OEM Manual Rev. 4.2 mandates full component replacement at vibration thresholds 30% below the revised internal Standard MS-2025-03. MOC-2025-022, the management-of-change request to formally override the OEM threshold, has been pending engineering review since March 2025. In its absence, field crews default to OEM guidance — and replacement scope.

Section 4 — Resources At Risk

- **WIN-10131** (Siemens Gamesa, NW-PowerPool-WIND-024): three Apex dispatches YTD; Siemens Gamesa has quoted a full gearbox replacement at **\$1.2M** that is now in dispute.
- **WIN-10011** (Siemens Gamesa, NW-PowerPool-WIND-024): two dispatches; efficiency trending unfavorable.

- **WIN-10058** (GE, NW-PowerPool-WIND-014): two dispatches; the underlying GE OEM manual predates the 2023 firmware refresh, leaving crews without a current procedure.
 - **SUB-10641** (ABB, NW-PowerPool-WIND-014): one dispatch but trending; ABB manual cycle of 4 years conflicts with internal 2-year standard.
 - **Cascadia Power Services MSA** — at risk of being characterized as "non-responsive" because every NW-PowerPool dispatch has gone to Apex. CPS performance metrics will look weak through no fault of CPS.
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Section 5 — Recommended Executive Action

1. **Issue notice of renegotiation to Apex Emergency Grid Solutions.** Target a 25% reduction on labor rate, removal of the 35% emergency parts mark-up in favor of cost-plus-15%, and a cap on weekend multiplier exposure. Estimated FY26 savings: \$1.8–2.4M at current dispatch volume.
 2. **Accelerate Heartland Reliability Partners pilot (VRA-2025-004).** Heartland's \$215/hr labor rate and performance-based contract structure introduce competitive tension. Approve a six-month pilot in NW-PowerPool with three named activation tests, starting Q4 FY2025.
 3. **Open a formal compliance review of EPA-2024-11.** Recommend revising the four-hour mobilization threshold to require documented prior-knowledge attestation, blocking EPA activation when the failure mode was known and a CPS scheduled path was viable.
 4. **Resolve MOC-2025-022.** Engineering review has been pending nine months. Assign an owner with a 30-day deadline.
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Section 6 — Decision Required

I request executive sign-off on items 1–3 above by **2025-10-15**, to allow procurement to issue the Apex notice and Heartland pilot terms ahead of Period B winter operating conditions. Item 4 requires only an owner assignment and can be resolved at the next operations review.

Submitted by:

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VP, Operations
Cascadia Renewable Operations LLC

References:

- CAR-2025-001 — Deferred Preventive Maintenance Cadence, NW-PowerPool
- CAR-2025-004 — EPA-2024-11 Activation Pattern Review
- RCA-2025-001 — Root Cause, WIN-10058 / TRA-10561 May 2025 Outages
- MOC-2025-022 — OEM Threshold Override (pending)
- VRA-2025-004 — Heartland Reliability Partners pilot agreement (draft)
- EPA-2024-11 — Emergency Procurement Authorization policy

Distribution: COO; CFO; SVP Asset Management; General Counsel; VP Procurement.
Hold on file: Internal Audit, Compliance.